

Illustration by SIDDHANT JUMDE

TRIGGERS TO REVISIT INSURANCE

You can broadly classify life events under two heads that require you to review your insurance needs:

CHANGES IN YOUR FINANCIAL SITUATION

- Getting married or divorced
- Birth of a child
- Buying a house
- Change in employment
- Starting a business
- Receiving an inheritance

HEALTH AND LIFE-STYLE CHANGES

- Detection of a lifestyle disease
- Postsurgery needs
- Adopting active fitness
- Age-related health triggers

be ending an existing marital relationship through a separation and may need to change the amount of cover and beneficiary.

Home purchase or increasing debt: Buying a house is a major investment, especially if you have taken a loan. Your lender may have already reviewed your existing life cover or may insist you take out life cover to match the outstanding loan. You could consider mortgage cover insurance, which matches the home loan, or take a policy on your own just to cover the debt and match it for the duration of the loan. Don't be underinsured, especially when servicing debt. You should also consider insuring your home, especially against theft, fire and other damage.

Growing family: If you are having a baby or are adopting a child, update your health and life insurance. A growing family needs protection and adequate coverage. In addition to taking out additional life insurance, consider health insurance for the child or adding them to your existing health policy. If your parents are going to move in with you, consider the same for their health policy. If you have an employer-provided health policy, update the policy to clearly include additional family members. If both you and your spouse have employer-provided health insurance, evaluate which dependent could be smartly added to which policy for maximum benefit and convenience.

Job change: Typically, as your income increases, your life insurance coverage should too. Your biggest asset during your working years is the ability to earn an income. Many of your financial goals revolve around income and how you deploy it to achieve them. A change in employment can mean different employer-provided benefits, liabilities and risks. Be sure your life insurance coverage reflects your new earnings or job-risk level. If employer-provided benefits, especially health insurance, change, review your cover.

INSURANCE IS DESIGNED TO PROTECT THE FINANCIAL PLAN YOU'VE WORKED HARD TO BUILD. IT TRANSFERS YOUR LIFE'S WORST-CASE SCENARIOS TO THE INSURER

Change in health and habits: If you have developed lifestyle health issues, gained weight or had a significant change in your health condition, it's time to review your insurance. Any reduction in quality of life can increase your risk. These triggers can also signal the need for special health insurance cover or an increase in your health cover. Depending on how long you have had the health policy, you may be able to increase your cover or add special critical insurance cover. So, update your insurer in time about any such developments to avoid issues with a future claim.

Some health insurers also reward improvements in your health condition, such as weight loss or improvements to existing health conditions, and may revise your policy premiums. If you qualify for lower premiums, update your insurer and ask whether your premiums can be lowered.

Another instance when you may consider lowering your life cover is when you receive a significant inheritance. The sudden increase in your net worth may reduce your need for a life cover. Similarly, when you foreclose a home loan, you can close the policy taken against the debt as it has served its purpose. Other reasons to revisit your insurance cover include the demise of a beneficiary or spouse. Such events may also require you to update beneficiaries in your existing policies or reduce your cover, depending on changes in the status of additional dependents.

At times, people see life insurance as an expense. This is a flawed view. The potential loss could be far higher if you think of insurance premiums as a cost. Make a smarter financial decision by protecting your finances with the right insurance and coverage throughout your life. ■

—Narayan Krishnamurthy